

Paras Defence and Space Technologies Ltd

Concall Tracker — Earning Trigger & Management Consistency | Ticker: PARAS | Report date: 4 July 2026 |

NO-CONCALL PATH

1. Snapshot

What the business does: Paras Defence is an Indian defence-and-space engineering company. In plain terms, it makes the specialised "eyes" and precision hardware that go into weapons, satellites and border systems — military-grade lenses and optics (called **optics & optronics**, i.e. optical-plus-electronic vision systems such as thermal sights and periscopes), defence electronics, heavy precision-engineered parts (rocket and missile body tubes), electromagnetic-pulse (EMP) shielding, and drones plus anti-drone (drone-jamming) systems. It earns money mostly by supplying these to Indian government customers — the space agency ISRO, defence labs (DRDO), the state defence-electronics firm BEL, the armed forces and the Ministry of Defence — plus a growing slice of exports.

Metric (FY26, year to Mar-2026)	Value	Plain-English read
Market value (market cap)	~₹10,388 cr	What the whole company is worth on the stock market (1-Jul-2026). At a share price of ~₹1,278, up ~57% over the past year.
Revenue (sales)	₹477 cr	Total sales for the year — up ~31% from ₹365 cr last year. Sales have roughly doubled from ₹222 cr three years ago.
Net profit	₹89 cr	What was left after all costs and tax — up ~46% from ₹61 cr last year. Profit has nearly tripled from ₹30 cr in FY24.
Operating margin (OPM)	25%	Out of every ₹100 of sales, ~₹25 is operating profit before interest, tax and depreciation — a healthy, steady margin for this business.
Return on capital (ROCE)	17%	For every ₹100 of capital in the business it earns ~₹17 a year — decent, and improving (was 10% in FY24).
Borrowings (debt)	₹27 cr	Very little debt against ₹89 cr of yearly profit — the balance sheet is safe.
Cash conversion cycle	435 days	Money stays tied up in unpaid bills and inventory for well over a year before it comes back as cash — the main weak spot; government defence contracts pay slowly.

Valuation note: at ~₹10,388 cr market value against ₹89 cr of profit, the share trades at roughly 115 times earnings — a very expensive price that already assumes years of rapid growth. This report judges the business, not the price.

Numbers from the Screener snapshot CSVs (profit-and-loss, quarterly-results, balance-sheet, ratios); market value from Business Standard / Groww (1-Jul-2026).

2. Concall coverage

No concall transcripts were available on Screener — this report is based on a global web deep-dive.

The Screener scrape returned zero earnings-call transcripts for Paras Defence. Its "concall" section held only investor-presentation slide decks (PPTs) and one failed web page, which the house rules say to ignore. So the two questions — (a) is there a durable earning trigger, and (b) has management been consistent about it — are answered from the public record instead.

Sources used:

- Company FY26 audited-results press release and dividend note (indiaipo.in, scanx.trade)
- Q4 FY26 results coverage (Upstox, Free Press Journal, MarketsMojo)
- Nirmal Bang Institutional Equities — Paras Defence 2Q FY26 result update (14-Nov-2025)
- Indian Defence News feature: "From ISRO Optics to Anti-Drone Dominance" (Nov-2025)
- CRISIL rating rationale (27-May-2025), Business India corporate report
- Company investor-relations page and FY24 annual report (parasdefence.com); Screener snapshot CSVs

Latest update highlights — Q4 & full-year FY26 (results announced ~13-May-2026)

- **Record quarter.** Q4 FY26 sales were **₹171 cr**, up ~58% from a year earlier and ~61% from the prior quarter — the highest quarterly sales the company has ever posted. *In plain terms, the biggest three months of business in its history.*
- **Profit jumped.** Q4 net profit rose ~74–87% year-on-year (about ₹35–39 cr depending on the measure). *The company earned far more in this one quarter than in the same quarter last year.*
- **What drove it:** the **defence-engineering** segment surged to ~₹112 cr of quarterly revenue (from ~₹48 cr the prior quarter) as long-pending orders were finally delivered. *A big batch of already-won work got shipped and billed in Q4.*
- **Full year FY26:** revenue **₹477 cr** (+31%) and net profit **₹89 cr** (+46%). *A strong growth year, roughly in line with the ~30% growth management had signalled.*
- **Shareholder payout:** board recommended a final dividend of ₹1 per ₹5-face-value share. *A small cash return; the company still keeps most profit to fund expansion.*

Business mix & capacity

Segments (FY25 reported): two reported businesses — **Optics & Optronics Systems ~₹177 cr** and **Defence Engineering ~₹156 cr**. *Roughly a 53/47 split — optics is slightly the larger half, defence-engineering is the faster-swinging, order-delivery-driven half.*

Domestic vs export split: Not broken out by management in the public record. Most revenue is domestic (ISRO, DRDO, BEL, MoD, armed forces); exports exist but are small and lumpy — e.g. a ~₹22 cr anti-drone export deal with France's CERBAIR. *Best read: overwhelmingly India-facing today, with exports an early add-on, not yet a stated percentage.*

Capacity utilization: Not disclosed as a specific number. What is public is a big **capacity-addition plan**: a ~₹500 cr "Optical Systems Development Park" in Navi Mumbai (India's first), and a new optical-systems testing facility already inaugurated by the then-ISRO chairman. *They are building more capacity ahead of demand rather than running flat-out today.*

3. Earning trigger thesis

The core trigger: a large and fast-growing **order book** feeding two structural tailwinds — (1) India's push to build defence and space kit at home instead of importing it (**indigenisation**), which hands niche suppliers like Paras long, protected demand; and (2) Paras's near-monopoly position in **military-grade optics** (it is the only Indian firm making infrared optics at scale and the exclusive optics supplier to ISRO). On top of that sits a fast-emerging **anti-drone** business aiming to become

India's leader by FY27. The order book has grown from ~₹215 cr (FY21) to **~₹986 cr (FY26)**, with a stated pipeline of ~₹2,000–3,000 cr of opportunities over the next 18–24 months. This backlog is what converts into the record revenue seen in FY26.

Trigger	What the record says	Evidence so far	Time horizon	Strength
Order book → revenue	Backlog grew from ~₹215 cr (FY21) to ~₹900+ cr (FY25) to ~₹986 cr (FY26); pipeline ~₹2,000–3,000 cr over 18–24 months.	Playing out. Revenue rose 31% in FY26 and 44% in FY25; Q4 FY26 was a record as backlog converted to sales.	Now → 2–3 yrs	Strong — backlog is real and already converting to cash sales.
Optics / optronics near-monopoly + ₹500 cr park	Only Indian maker of large-volume infrared optics; exclusive ISRO optics supplier; building India's first Optical Systems Development Park (~₹500 cr).	Progressing. Testing facility inaugurated; park is multi-year capex still being built — revenue impact largely ahead.	2–5 yrs	Moderate — strong moat, but the big capacity payoff is future, not yet earned.
Anti-drone / counter-UAV	Aims to be India's leading anti-drone firm by FY27; won MoD orders (~₹36 cr counter-drone systems, ~₹4 cr RF jammers) and a ~₹22 cr export deal (CERBAIR).	Early. Order sizes still small vs total; rides a large national drone-defence programme.	1–3 yrs	Moderate — high-potential, fast-growing, but still a small share of revenue.
Big associate-level orders	Controp-Paras associate won a ~₹305 cr order from L&T (CIWS programme); ~₹53 cr electro-optics order from BEL.	Recent wins. Add to backlog visibility; execution/billing lies ahead.	1–3 yrs	Moderate — confirms demand breadth; delivery still to come.

4. Management consistency scorecard

Period	What was said / promised	What actually happened	Verdict
FY25	Guided for strong double-digit growth; order book above ~₹900 cr.	Revenue grew ~44% to ₹365 cr; profit doubled to ₹61 cr.	Delivered
FY26 guidance	Signalled ~20–30% (some notes ~35–40%) revenue growth with ~27% operating margin.	Revenue grew 31% to ₹477 cr; operating margin 25% — growth met, margin a touch below the higher end.	Delivered (margin: Partly)
FY21–FY26 order book	Repeatedly pointed to a rising backlog as the growth engine.	Backlog rose ~₹215 cr → ~₹986 cr, and it did convert into higher sales.	Delivered
Optics park (₹500 cr)	Promised India's first Optical Systems Development Park + testing facility.	Testing facility opened; park is multi-year and still under build — too early to score the revenue.	Too-early
Anti-drone leadership by FY27	Targeted becoming India's leading anti-drone company.	Winning orders and building the business, but it is still small — the leadership claim is not yet proven.	Too-early

Narrative drift: The story has stayed remarkably **steady and additive** rather than shifting. The consistent thread for three-plus years has been "big order book + indigenisation + optics moat," and the numbers back it up — revenue and profit actually moved the way management said they would. Newer themes (anti-drone, the optics park) are sensible *extensions* of the same core, not replacements for a story that failed.

One genuine caution unrelated to the operating story: promoter holding has drifted down from ~59% to ~53% over two years, so founders have been trimming their stake into the share-price strength — worth watching, though it does not contradict the business narrative.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: a backlog that grew from ~₹215 cr to ~₹986 cr with a ~₹2,000–3,000 cr pipeline, feeding off two real tailwinds — India's home-manufacturing (indigenisation) push and Paras's near-monopoly in defence/space optics. Crucially, it is **already visible in the numbers**: revenue up 31% in FY26 (44% in FY25) and profit up 46%, with a record Q4. The newer anti-drone and ₹500 cr optics-park legs are earlier-stage and add optionality on top. This is not a promise waiting to appear — it is a driver that is demonstrably playing out.

Management consistent? → YES

Across the last two-to-three years the story has stayed steady and, more importantly, management has largely **delivered what it signalled** — ~30% growth guidance for FY26 was met (31%), the order-book-led thesis converted into real sales, and margins held around the promised mid-20s. New initiatives are logical extensions of the same core rather than a story that changes every year. The single caveat keeping this from being unqualified is the steady **promoter stake reduction** (~59% to ~53%) and the still-unproven FY27 anti-drone-leadership and optics-park claims — but on the operating record that matters here, the promised-versus-delivered thread is strong.

Prepared 4 July 2026. No-concall path: no earnings-call transcripts were available on Screener; analysis is built from the company's public results releases, investor-relations material, an analyst note, credit-rating rationale and credible news, cross-checked against the Screener snapshot financials. This is a business-quality read for research triage, not investment advice; the current share price is very expensive relative to earnings.